

Systematic Investments for Long-Term Wealth Creation

Small, consistent investments made over time can potentially create significant wealth through the power of compounding.

Investing in mutual funds is well-established and growing at a rapid pace over the past decade. Systematic investment plans (SIPs) are the most popular mode of taking exposure to mutual funds given their simple and transparent structure.

The number of contributing SIP accounts stood at 9.64 crore as of May 2026, according to AMFI and CRISIL Intelligence data. The monthly average contribution via SIPs has averaged around Rs 30,000 crore for the past one year. In May 2026, the SIP inflow was Rs 30,954 crore, up 16% year-on-year. SIP assets alone stood at Rs 17.12 trillion and accounted for 21% of the entire mutual fund industry's assets.

Planning methodically for goals, choosing the most suited mutual funds by taking the right assistance, sticking to the schemes for years or decades (subject to periodic reviews) and stepping up investments with rise in income are some key steps to achieving generational wealth via SIPs.

Disciplined wealth creation

The key aspect of wealth creation via SIPs is goal orientation. Saving towards specific goals helps provide clarity on the amount required based on the time period available to reach the target, risk appetite (the ability to digest market volatility) and staying the course till the requisite corpus is achieved.

Different goals would require different types of SIP investments. Given the variety of mutual fund categories, it is important to choose the most suited ones for your needs.

For example, a goal 10-plus years away would mean SIPs in midcap and a mild mix of small cap funds can be considered. Targets that are 5-10 years into the future lend themselves to large cap and flexicap funds. Those goals that are less than five years away can be accomplished through



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The most successful SIP investors are often those who stay invested through market ups and downs rather than reacting to every fluctuation.

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hybrid funds and ones that are 1-3 years away via debt schemes.

If you are unable to decide the right category or the target amount and SIPs required, it may be helpful to take the help of a registered investment advisor or a mutual fund distributor. Taking the right advice will ensure that you avoid costly mistakes and align your portfolio with your goals.

A trusted advisor or distributor will also keep asset allocation as the key portfolio anchor and help you invest across equity, debt and commodities as required.

You must try to allocate the SIP amount smartly across different categories to make the most of the options available, based on your requirements.

Staying invested across market cycles can work wonders due to compounding. Data from Valueresearch shows that flexicap SIPs in active schemes gave about 9.5% to 17.4% (XIRR) over a 10-year period (as of May 10, 2026). Large cap SIPs have delivered 10-14.8% over a period of one decade. Midcap funds have given anywhere from 13.8% to 21.1% in this timeframe. Small cap schemes have delivered 15.2% to almost 25% over this 10-year period.

Even during market corrections or prolonged sideways phases, investors should avoid stopping SIPs in panic. Such periods often improve cost averaging and long-term outcomes.

If your surplus is limited, start with a smaller SIP, but ensure contributions rise with income. A Rs 10,000 monthly SIP increased by 5% annually can grow to Rs 1.37 crore in 10 years at a 12% return.

Ultimately, SIP success is less about timing markets and more about discipline. Start early, invest consistently, increase contributions as income grows, and let compounding drive long-term wealth creation.